

Enbridge Inc. (ENB)

Liquids Pipelines | Gas Transmission | Regulated Utilities | TSX & NYSE
Analyst: Gideon Anthony | Independent Research

HOLD / UNDERPERFORM

Target: C\$53.63 | Current: C\$65.33 | Downside: (18.0%)

Date: 29th December 2025

RATING	TARGET PRICE	CURRENT PRICE	DOWNSIDE
HOLD / UNDERPERFORM	C\$53.63	C\$65.33	(18.0%)

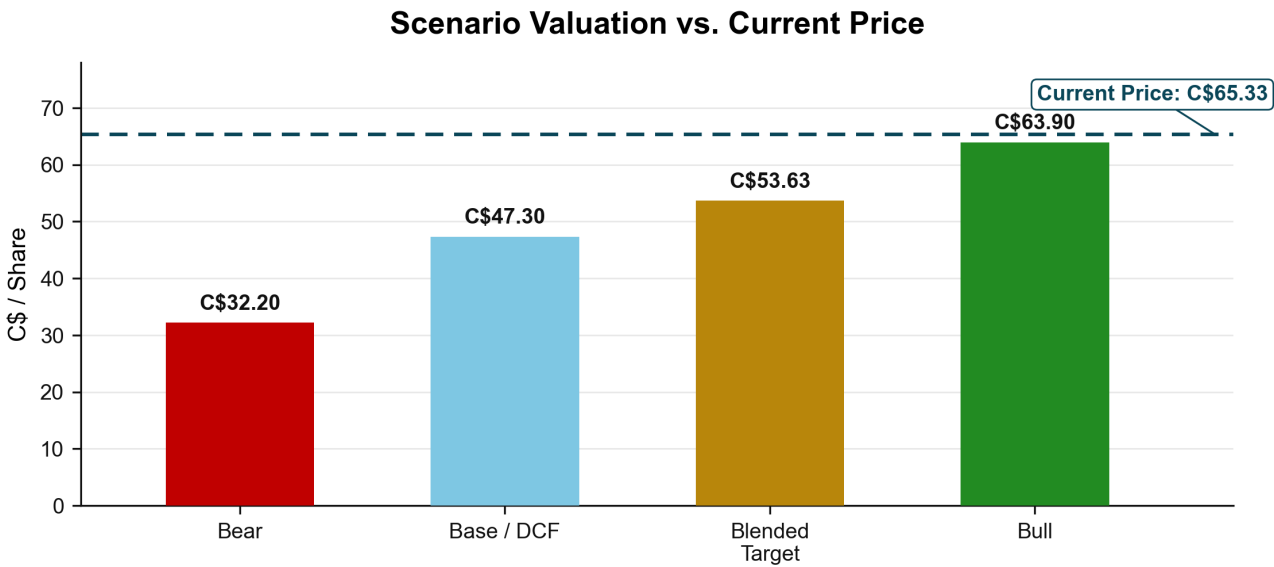
1.) KEY METRICS SNAPSHOT

Metric	Value	Metric	Value
Market Cap	C\$142.4B	WACC / CoE	6.83% / 9.05%
DCF EV	C\$216.8B	Exit Multiple	10.5x
Net Debt	C\$103.9B	TV / EV	79.9%
Shares	2,180mm	DCF Value	C\$47.30
Relative Value	C\$59.90	Bear/Base/Bull	C\$32.20 / C\$47.30 / C\$63.90

2.) EXECUTIVE SUMMARY

HOLD / UNDERPERFORM with a C\$53.63 12-month target, implying (18.0%) downside from C\$65.33. The business is durable, with regulated/contracted cash flows and EBITDA growth from C\$20.5B to C\$26.2B, but the current price already reflects this quality. DCF value is C\$47.30/share; ENB trades at ~12.5x LTM EV/EBITDA vs. peer median ~11.9x and 10.5x model exit. C\$105.0B debt and 79.9% TV/EV create high sensitivity to WACC and exit multiple; even bull case value is below current price.

Scenario Valuation Summary



Current price exceeds bear, base, blended target, and bull-case outputs.

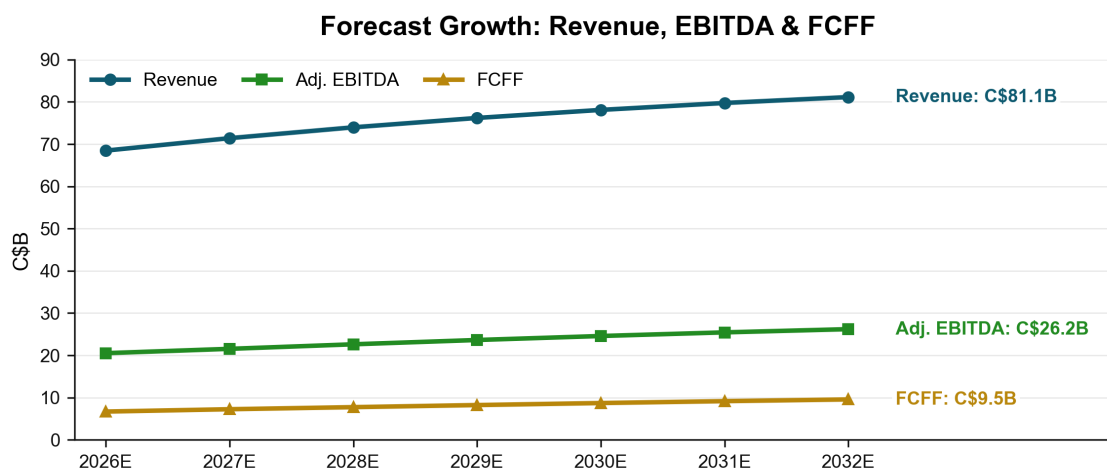
4.) FINAL RECOMMENDATION

HOLD / UNDERPERFORM | Target C\$53.63 | Downside (18.0%)
ENB is durable, but the model does not support the current price. The stock needs deleveraging, lower rates, or a structural re-rating to justify upside.

3.) INVESTMENT THESIS

Pillar	Claim / Evidence / Valuation Impact
Capital Structure	C\$105.0B of debt and C\$9.7B of preferred/MI cut C\$216.8B of EV down to C\$103.2B of equity value, or C\$47.35/share. The asset base is large, but too much value is lost before reaching common equity.
Terminal Value Risk	Terminal value drives 79.9% of EV, so the DCF is highly sensitive to assumptions. A ± 75 bps WACC move changes value by roughly C\$10–16/share, and even the bull case only reaches C\$63.90.
Premium Multiple	ENB trades at $\sim 12.5\times$ EBITDA versus peers at $\sim 11.9\times$, while the model uses a $10.5\times$ exit multiple. Relative value of C\$59.90 and blended target of C\$53.63 still sit below the C\$65.33 price.
Rating Changes If	The downside case weakens only with real deleveraging toward $\sim 3.5\text{--}4.0\times$, a lower long-term WACC, or a sustained sector re-rating above $13\times$.

5.) FORECASTS 2026E-2032E



Business growth is visible, but valuation remains constrained by leverage and terminal-value sensitivity.

Metric	2026E	2032E	CAGR
Revenue	C\$68.5B	C\$81.1B	2.9%
Adj. EBITDA	C\$20.5B	C\$26.2B	4.2%
FCFF	C\$6.7B	C\$9.5B	6.2%
EBITDA Margin	30.0%	32.3%	+230bps

Driver	Impact Value	on Sensitivity
WACC	Negative	A ± 75 bps moves changes fair value by roughly C\$10–16/share.
Exit Mult.	Positive	A $\pm 1.5\times$ move changes fair value by roughly C\$8–10/share.
Net Debt	Negative	Every C\$5B change affects equity value by about C\$2.30/share.
EBITDA Gr. TV / EV	Positive Risk Indicator	Forecast assumes about 4.2% CAGR. Terminal value is about 79.9% of EV.

8.) TRADING COMPS

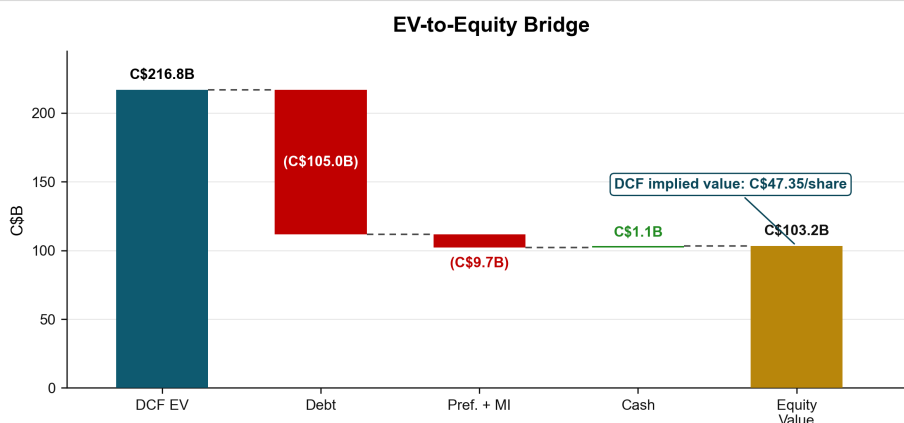
Company	EV/EBITDA	EV/Rev
ENB	12.5x	3.8x
TRP	12.4x	9.0x
WMB	13.3x	8.5x
KMI	11.4x	5.5x
PPL	10.2x	5.5x
Peer Med.	11.9x	7.0x
Model Exit	10.5x	-

6.) SENSITIVITY / VALUE DRIVERS

12.0x / 6.08% = C\$63.90/sh, still below C\$65.33.

7.) DCF BRIDGE + EV TO EQUITY

Metric	Value (CAD in mm)
DCF EV	216,825
(-) Debt	(105,024)
(-) Pref. + MI	(9,673)
(+) Cash	1,094
= Equity Value	103,222
/ Shares	2,180
DCF Price	C\$47.35



C\$105.0B of debt is the largest EV-to-equity deduction.

9.) RISKS & CATALYSTS

Risks	Catalysts
Higher WACC / interest rates pressure valuation.	Lower rates could support valuation.
Mainline regulatory uncertainty affects cash flow visibility.	Favorable toll settlement could improve visibility.
C\$105B debt burden raises refinancing risk	Deleveraging or refinancing could reduce equity risk.
Project delays could slow EBITDA growth.	Gas Tx backlog execution could support growth.
Exit multiple compression reduces terminal value.	Utility rate base growth could support premium multiple.

10.) Bull Case vs. My View

Item	Control Point
Why the Market Likes It	Enbridge deserves some premium for stable cash flows, regulated infrastructure exposure, and a high dividend yield.
Where I Disagree	I do not dispute the quality of the business. The issue is price. DCF states C\$47.30, while relative valuation is approximately C\$59.90.
Main Concern	At C\$65.33, investors are paying for quality with little room for errors. The valuation is especially sensitive to WACC, terminal value, leverage, and exit multiple assumptions.
What Would Change Our Mind	A lower WACC below 6.0%, sector re-rating above 13.0x, or clear deleveraging toward 3.5–4.0x would reduce the downside case.

11.) Sources

Sources: Enbridge SEC filings, MD&A, investor presentations, peer company SEC filings, Bloomberg, Yahoo Finance, and external market data as of the valuation date; valuation outputs are model-derived.

This report is for informational and professional development purposes only. It is not investment advice, a solicitation, or a recommendation to buy or sell any security. All valuation outputs are model-derived estimates and should be verified against primary filings, market data, and the final valuation model before distribution.